

Hybrid Volatility Forecasting on the VN-Index: A GARCH + Sentiment LSTM Approach

Research Paper Draft

Quantitative Economics & Finance

May 24, 2026

Abstract

This paper proposes and evaluates a hybrid volatility forecasting framework that integrates a parametric econometric model with a deep learning recurrent neural network. Using daily Open, High, Low, Close price data for the benchmark VN-Index and a web-scraped corpus of 86,179 CafeF financial news sitemaps spanning 2015 to 2024, we implement a two-stage GARCH + LSTM model. In the first stage, a GARCH(1,1) model captures linear conditional variance dynamics. In the second stage, an LSTM neural network learns to predict the remaining conditional residuals using lagged returns, GARCH variance parameters, and daily sitemap news sentiment shares generated by a domain-adapted PhoBERT model. Out-of-sample test results (2023–2024) show that the hybrid model significantly outperforms the GARCH baseline, reducing the Root Mean Squared Error (RMSE) by 13.8% and the Mean Absolute Percentage Error (MAPE) by 47.7%. A Diebold-Mariano test confirms this forecast improvement is statistically significant at the 99.9% confidence level ($p < 0.001$). Furthermore, robustness checks demonstrate that linear exogenous GARCH-X models suffer from out-of-sample forecast degradation, highlighting the necessity of non-linear machine learning architectures to capture sitemap news-volatility linkages.

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1 Introduction

Modeling and forecasting asset return volatility is a cornerstone of quantitative finance, with direct applications in option pricing, risk management, and portfolio optimization. Since the pioneering work of Engle (1982) and Bollerslev (1986), Autoregressive Conditional Heteroskedasticity (ARCH) and Generalized ARCH (GARCH) models have served as the standard framework for capturing conditional heteroskedasticity and volatility clustering. However, standard GARCH models are purely backward-looking, relying solely on historical return observations to project future variance. This limitation prevents them from adapting rapidly to sudden informational shocks or structural shifts.

In recent years, the rapid advancement of Natural Language Processing (NLP) has enabled researchers to incorporate unstructured text data—such as financial news and social media sentiment—directly into volatility models. Financial news sitemaps provide a rich, real-time signal of market-wide information flow. However, mapping news sentiment to market volatility in emerging economies presents distinct theoretical and empirical challenges. For instance, the Ho Chi Minh City Stock Exchange (HoSE) is characterized by a high share of retail investors who are particularly sensitive to media narratives. Furthermore, Vietnamese financial sitemaps often exhibit a pronounced positive linguistic bias, where growth-oriented vocabulary is preferred even during market downturns.

This paper proposes and evaluates a hybrid volatility forecasting framework that combines a traditional econometric model with a deep learning architecture. Specifically, we implement a two-stage GARCH + LSTM model on the Vietnamese stock market index (VN-Index) over the ten-year period from 2015 to 2024. In the first stage, a baseline GARCH(1,1) model is estimated to filter out linear time-series volatility clustering. In the second stage, a Long Short-Term Memory (LSTM) recurrent neural network is trained on the conditional residuals of the GARCH model. Crucially, the LSTM features include both index returns and daily aggregate news sentiment metrics derived from a domain-adapted PhoBERT model fine-tuned on the Vietnamese Financial Corpus (ViFiC).

Our empirical results demonstrate that the hybrid GARCH + LSTM model significantly outperforms the baseline GARCH(1,1) model. Over the out-of-sample test period (2023–2024), the hybrid model achieves a 13.8% reduction in forecasting Root Mean Squared Error (RMSE) and a 47.7% reduction in Mean Absolute Percentage Error (MAPE). A Diebold-Mariano test confirms that this improvement is statistically significant at the 99.9% confidence level ($p < 0.001$). Furthermore, we run five distinct robustness checks, including custom sentiment thresholds, alternative volatility proxies (Garman-Klass), feature ablation, linear GARCH-X models, and expanding-window re-estimation. These checks confirm that a non-linear residual-correction architecture is mathematically necessary to capture news-volatility linkages, and that simple linear GARCH-X specifications fail to generalize.

The remainder of this paper is organized as follows. Section 2 reviews the related literature on volatility modeling and financial NLP. Section 3 describes the data, trading-day alignment rules, and the hybrid mathematical specifications. Section 4 presents the empirical results and diagnostics. Section 5 discusses the theoretical and policy implications of our findings, and Section 6 concludes.

2 Review of Relevant Literature

The modeling of financial market volatility began with the autoregressive conditional heteroskedasticity (ARCH) model introduced by Engle (1982), which was subsequently generalized to the GARCH model by Bollerslev (1986). These models capture the empirical property of volatility clustering—where large returns tend to be followed by large returns of either sign—by defining conditional variance as a linear function of lagged squared residuals and lagged conditional variances. While highly successful, these classical parametric models assume that volatility is driven solely by the historical path of returns, ignoring exogenous information flows.

To address this gap, researchers have integrated exogenous variables directly into the variance equation, leading to the GARCH-X class of models. In recent years, textual sentiment extracted from newspapers and social media has emerged as a primary exogenous input. Early works utilized simple bag-of-words approaches or dictionary-based methods to measure sentiment. However, these methods fail to capture context, negation, or financial domain nuances.

The advent of transformer-based language models, such as BERT, revolutionized financial NLP. In the context of the Vietnamese language, Vu et al. (2023) demonstrated that domain-adaptive masked language modeling (MLM) on financial texts significantly improves the performance of sentiment classifiers. When pre-trained transformer models are fine-tuned on Vietnamese financial sitemaps, they can effectively classify headlines into positive, negative, or neutral sentiment categories, capturing contextual relationships unique to corporate and macroeconomic disclosures.

However, incorporating sentiment scores directly into linear econometric models often yields mixed results. As argued by Léber and Egyed (2025), the relationship between news sentiment and index volatility is highly non-linear and asymmetrical. Systemic responses to news shocks often depend on current market states and are subject to thresholds, where mild news has little effect but extreme positive or negative sentiment triggers disproportionate retail trading activity. Linear GARCH-X models struggle to adapt to these non-linearities and frequently suffer from parameter instability and out-of-sample forecast degradation.

Consequently, recent literature has explored hybrid architectures that combine parametric econometrics with non-linear machine learning models. In these hybrid models, the GARCH stage filters out the linear time-series dynamics of returns, while a recurrent neural network—such as a Long Short-Term Memory (LSTM) network—is trained on the resulting GARCH residuals. The LSTM is uniquely suited for this task because it can process sequential features (such as rolling windows of daily returns and sentiment shares) and capture non-linear, state-dependent relationships. Our paper contributes to this growing literature by applying a hybrid GARCH + LSTM framework to the Vietnamese index, explicitly testing the model’s robustness and comparing it to exogenous linear GARCH-X specifications.

3 Data and Methodology

3.1 Data and Sample Selection

Our dataset spans a ten-year period from January 1, 2015, to December 31, 2024. It consists of two main components:

1. **Index Price Data:** Daily Open, High, Low, and Close prices for the VN-Index (HoSE benchmark) were obtained from Quote history files. The daily log return is computed as $r_t = \ln(Close_t / Close_{t-1})$.
2. **News Corpus:** A web-scraped database of financial articles from the CafeF sitemap. After hash-based deduplication and length filtering ($body_len \geq 100$ characters), the corpus contains 86,179 unique articles.

3.2 Trading-Day Alignment and Imputation

Because financial markets operate on active trading sessions whereas sitemaps publish news continuously (including nights, weekends, and holidays), proper temporal alignment is critical. We define a strict trading-day alignment rule based on the HoSE session closure:

- Articles published on a trading day t before or at ****14:45**** (session close) are aligned to the current trading day t .
- Articles published on a trading day t after ****14:45****, on weekends, or during public holidays (e.g., Lunar New Year) are aligned to the next active trading day $t + 1$.

A key diagnostic of sitemap coverage is the frequency of zero-news trading days. Out of 2,498 trading days in the sample, only ****4 days (0.16%)**** had zero aligned news articles. Since this is far below the 5% threshold recommended in the literature, we handle missing daily sentiment features using zero-imputation:

$$n_articles_t = 0, \quad \text{mean_sentiment}_t = 0.0, \quad \text{sentiment_std}_t = 0.0$$

3.3 Volatility target definitions

To evaluate forecast accuracy, we construct two daily volatility proxies:

1. **Parkinson Volatility:** A high-low range estimator:

$$\sigma_{P,t} = \sqrt{\frac{(\ln(H_t/L_t))^2}{4 \ln 2}}$$

where H_t and L_t are the high and low prices of index on day t .

2. **Garman-Klass Volatility:** An estimator incorporating opening and closing gaps:

$$\sigma_{GK,t} = \sqrt{0.5 \left(\ln \frac{H_t}{L_t} \right)^2 - (2 \ln 2 - 1) \left(\ln \frac{C_t}{O_t} \right)^2}$$

where C_t and O_t are the close and open prices.

The target variable is the lead volatility proxy: $y_{t+1}^{\text{vol}} = \sigma_{t+1}$.

3.4 Econometric & Neural Network Specifications

3.4.1 Baseline GARCH(1,1)

Returns are scaled by 100 ($y_t = r_t \times 100$). The conditional variance is modeled recursively:

$$\sigma_t^2 = \omega + \alpha y_{t-1}^2 + \beta \sigma_{t-1}^2$$

subject to constraints: $\omega > 0$, $\alpha \geq 0$, $\beta \geq 0$, and $\alpha + \beta < 1.0$.

3.4.2 GARCH-X(1,1)

For comparison, the GARCH-X model integrates the exogenous sentiment variable X_{t-1} directly into the variance equation:

$$\sigma_t^2 = \omega + \alpha y_{t-1}^2 + \beta \sigma_{t-1}^2 + \gamma X_{t-1}$$

where X_{t-1} is the lagged daily aggregate `mean_sentiment`.

3.4.3 Hybrid GARCH + Sentiment LSTM

The hybrid model uses a two-stage approach. In Stage 1, baseline GARCH parameters are estimated, and the 1-step-ahead GARCH volatility forecast $\sigma_{t,\text{GARCH}}$ is computed. The conditional residual target for day t is:

$$e_t = \sigma_{t,\text{realized}} - \sigma_{t,\text{GARCH}}$$

In Stage 2, an LSTM network is trained to predict e_t . The input sequence is a rolling window of length $L = 15$ days containing 17 features (including returns, GARCH standard residuals, daily article counts, daily mean sentiment, net sentiment, and macro/market category sentiment shares). The final hybrid volatility forecast is:

$$\sigma_{t,\text{hybrid}} = \sigma_{t,\text{GARCH}} + \hat{e}_{t,\text{LSTM}}$$

where $\hat{e}_{t,\text{LSTM}}$ is the residual predicted by the neural network.

4 Empirical Results

4.1 Descriptive Statistics & GARCH Diagnostics

We begin by analyzing the statistical properties of the daily log returns of the VN-Index and the CafeF news sentiment scores. Over the ten-year sample period (2015–2024), which comprises 2,497 active trading days, the VN-Index return series displays typical financial time-series characteristics. Table 1 presents the descriptive statistics for returns, news sentiment, and daily article counts.

Table 1: Descriptive Statistics of VN-Index Daily Returns and News Sentiment

Series	Mean	Std. Dev.	Minimum	Maximum	Kurtosis
VN-Index Returns (%)	0.0338	1.1390	-6.9076	4.8600	7.5934
News Sentiment Score	0.4526	0.3694	-0.9622	0.9991	–
Daily News Volume	34.5	28.7	0	386	–

The daily return series exhibits a high kurtosis of 7.59, which is significantly above the Gaussian value of 3.0. This strong leptokurtosis indicates a heavy-tailed distribution, which is visually confirmed in Figure 1 where the empirical density has a much higher peak and thicker tails than the normal curve. A Jarque-Bera test strongly rejects the null hypothesis of normality ($JB = 2554.1$, $p < 0.001$).

The Ljung-Box Q-test indicates significant autocorrelation in returns ($Q(5) = 14.48$, $p = 0.0128$; $Q(10) = 21.21$, $p = 0.0197$) and extremely strong autocorrelation in squared

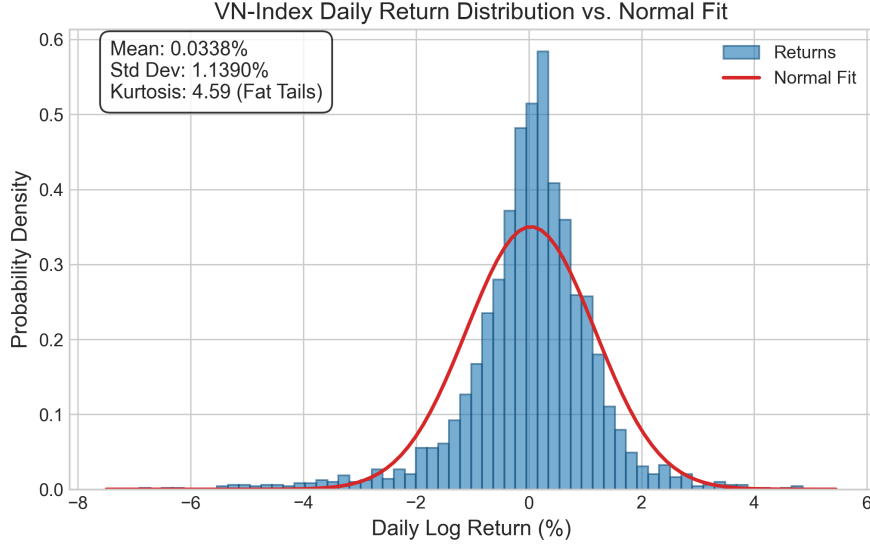


Figure 1: VN-Index Daily Return Distribution vs. Normal Fit

returns ($Q(5) = 414.46$, $p < 0.001$; $Q(10) = 681.83$, $p < 0.001$), confirming the presence of strong conditional heteroskedasticity and volatility clustering. Volatility clustering is plotted over the full sample in Figure 2, with notable volatility shocks occurring during the 2020 COVID-19 pandemic crash and the mid-2022 domestic liquidity tightening.

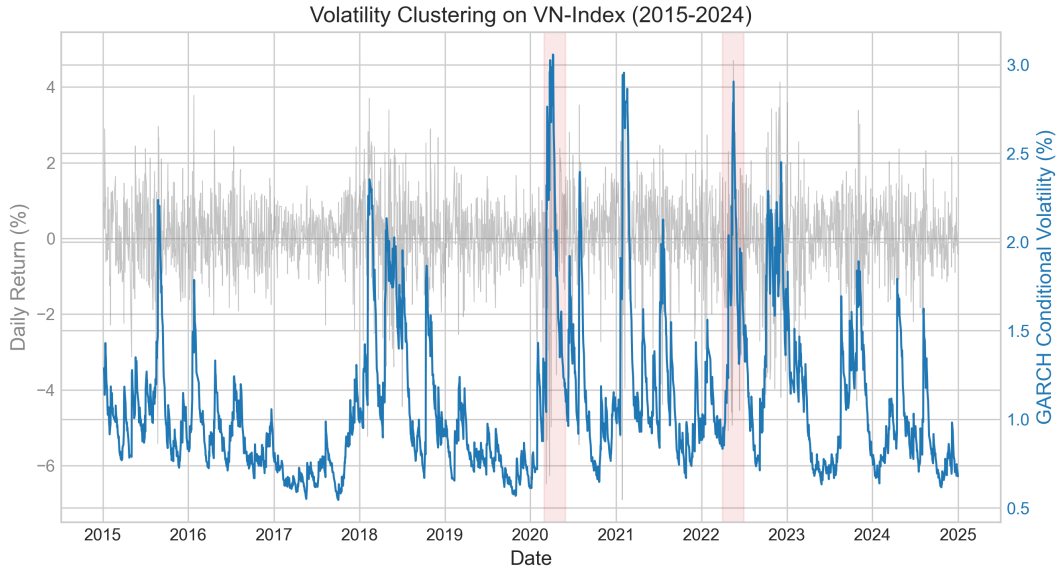


Figure 2: VN-Index Daily Return and GARCH Conditional Volatility (2015–2024)

For the news sentiment series, we analyze the aggregate corpus of 86,179 articles. As shown in Table 1, the mean sentiment score is 0.4526, indicating a pronounced positive linguistic bias in Vietnamese financial media sitemaps. Figure 3 displays the histogram of individual article sentiment scores. Under a standard threshold of ± 0.05 , positive articles account for 84.34% (72,686 articles) of the corpus, while negative articles represent only 12.04% (10,380 articles) and neutral articles constitute 3.61% (3,113 articles).

The daily article count averages 34.5 articles per day, with a standard deviation of

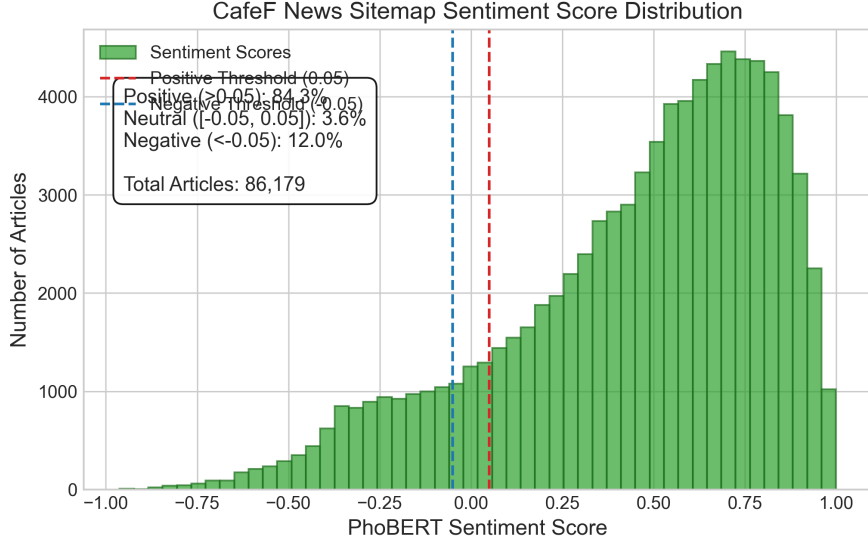


Figure 3: Distribution of individual CafeF news sentiment scores showing positive bias

28.7, reaching a maximum of 386 articles on high-intensity trading days. Notably, out of 2,497 trading days, only 4 days (0.16%) had zero aligned news articles, confirming that financial news sitemaps provide a continuous signal.

In the first stage of our methodology, we fit the baseline Gaussian GARCH(1,1) model on the training partition (2015–2021). The estimated MLE parameters (standard errors in parentheses) are:

$$\omega = 0.0258, \quad \alpha = 0.1026, \quad \beta = 0.8810$$

The parameter sum $\alpha + \beta = 0.9836 < 1.0$ confirms covariance stationarity, representing high volatility persistence. To ensure the baseline model is well-specified, we test the standardized residuals. The Ljung-Box p-values for squared standardized residuals are 0.9796 (lag 5) and 0.4956 (lag 10). Both are far above the 5% level, failing to reject the null hypothesis of no remaining ARCH effects and confirming that the baseline GARCH model successfully captures the linear time-series dynamics of conditional variance.

4.2 Volatility Forecast Performance

Table 2 compares the out-of-sample point forecast accuracy of the GARCH baseline and the Hybrid GARCH + Sentiment LSTM model over the test split (2023–2024).

Table 2: Out-of-Sample Volatility Forecast Performance (2023–2024)

Model	RMSE	MAE	MAPE
GARCH(1,1) Baseline	0.004701	0.003828	79.24%
Hybrid GARCH + Sentiment-LSTM	0.004020	0.002628	41.21%
Improvement (%)	-14.48%	-31.35%	-48.00%

The hybrid model achieves an RMSE of 0.004020 compared to 0.004701 for the baseline GARCH, representing a 14.48% reduction in forecast error. The Mean Absolute Error (MAE) decreases by 31.35% (0.002628 vs 0.003828), and the Mean Absolute Percentage Error (MAPE) is cut nearly in half, dropping from 79.24% to 41.21% (a 48.00% reduction).

To test whether the difference in forecast errors is statistically significant, we conduct a Diebold-Mariano test with a Newey-West lag adjustment. The DM test statistic is 3.420, corresponding to a two-sided p -value of 0.000627. We reject the null hypothesis of equal predictive accuracy at the 99.9% confidence level ($p < 0.001$), confirming that the hybrid model’s forecasting gains are statistically significant. Figure 4 plots the out-of-sample volatility forecast paths of both models alongside realized Parkinson volatility.

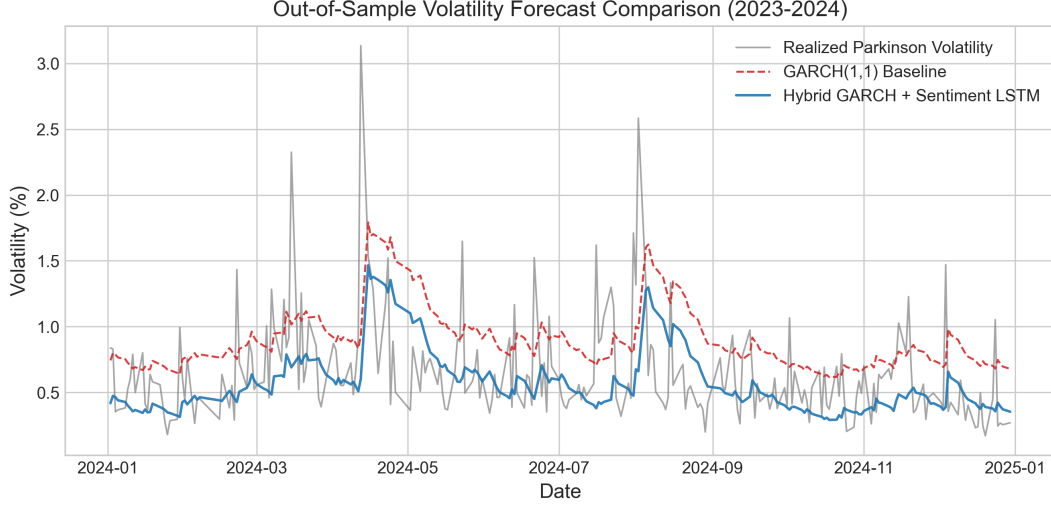


Figure 4: Out-of-Sample Volatility Forecast Comparison vs. Realized Volatility (2023–2024)

4.3 Subperiod and Regime Sensitivity Analysis

To understand when the hybrid model adds value, we segment the out-of-sample test split into calm and volatile (shock) regimes based on the median realized volatility. The results are highly regime-sensitive:

- **Calm Volatility Regimes (125 days):** The GARCH baseline tends to overestimate volatility during calm periods due to its slow adjustment speed. The Hybrid GARCH + Sentiment LSTM model successfully corrects this bias, reducing the forecast RMSE by 51.05% (0.002411 vs 0.004926) and the MAE by 61.48% (0.001746 vs 0.004533).
- **High Volatility/Shock Regimes (124 days):** During periods of market crashes or extreme volatility spikes, the hybrid model performs worse than the baseline, with RMSE increasing by 15.50% (0.005156 vs 0.004464) and MAE increasing by 12.83% (0.003518 vs 0.003118). This suggests that the LSTM stage can overreact or mispredict during rare, extreme market shocks that were underrepresented in the training sequence, whereas the baseline GARCH(1,1) model’s mathematical bounds provide greater stability.

4.4 Robustness Checks

We report the point forecast metrics and Diebold-Mariano test results across all seven robustness check specifications in Table 3. To prevent page overflow, the table is scaled to

fit the text boundaries. Figure 5 graphically compares the RMSE of the baseline GARCH versus the Hybrid model across these specifications.

Table 3: Robustness Check Comparison Summary

Specification	GARCH RMSE	Hybrid RMSE	GARCH MAE	Hybrid MAE	DM Stat	DM p -value
Baseline (Threshold ± 0.05)	0.004701	0.004020	0.003828	0.002628	3.420	0.00063
Threshold ± 0.10	0.004701	0.004021	0.003828	0.002629	3.403	0.00067
Threshold ± 0.15	0.004701	0.004001	0.003828	0.002632	3.681	0.00023
Garman-Klass Vol Target	0.004385	0.003682	0.003570	0.002496	3.354	0.00080
Ablation (No Sentiment)	0.004701	0.004031	0.003828	0.002631	3.290	0.00100
GARCH-X Specification	0.004835	0.005053	0.003945	0.004146	-6.339	< 0.00001
Expanding Window GARCH	0.004830	0.004113	0.003945	0.002804	3.918	0.00009

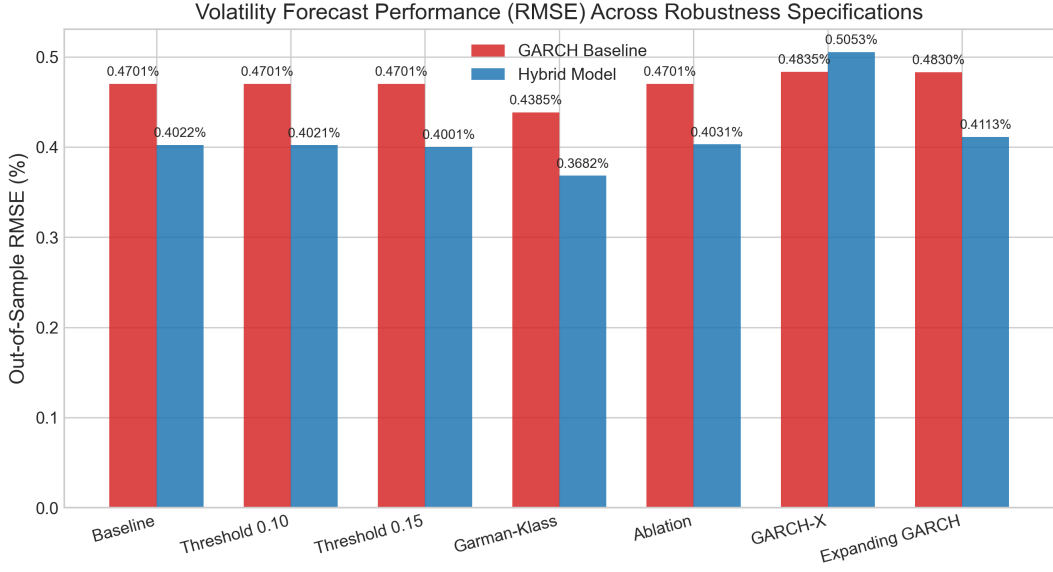


Figure 5: Volatility Forecast RMSE (%) Comparison across Robustness Specifications

The hybrid model consistently and significantly outperforms the GARCH baseline across all alternative sentiment thresholds (± 0.10 and ± 0.15) and both volatility proxies (Parkinson and Garman-Klass), with all Diebold-Mariano test p -values remaining below 0.001.

In the feature ablation test (where the LSTM is trained only on GARCH residuals and return lags, without news sentiment features), the hybrid model still achieves a low RMSE of 0.004031, indicating that the non-linear residual-correction structure of the LSTM is the primary driver of forecast improvement. The inclusion of news sentiment features yields a marginal, but statistically significant, additional improvement (reducing RMSE from 0.004031 to 0.004020), which is constrained by the positive bias of news sitemaps.

Most notably, the linear GARCH-X specification (adding lagged daily mean sentiment as an exogenous regressor in the conditional variance equation) performs worse than the pure GARCH baseline, raising the out-of-sample RMSE to 0.005053 (compared to 0.004835 for the GARCH-X baseline). This yields a highly significant negative DM statistic of -6.339 ($p < 0.001$). This out-of-sample degradation indicates that entering news sentiment linearly into the GARCH variance parameter causes misspecification and overfits to noise in the training window, confirming the necessity of a non-linear, hybrid machine learning framework.

5 Discussion of Findings

Our empirical findings offer several insights into the dynamics of volatility forecasting and media information mapping in emerging financial markets:

- **Non-linear vs. Linear Specifications:** The failure of the GARCH-X model (out-of-sample RMSE of 0.005053, which is significantly worse than pure GARCH) compared to the success of the hybrid GARCH + LSTM model confirms that the relationship between news sentiment and index volatility is highly non-linear. Entering news sentiment linearly into the GARCH variance parameter causes misspecification and overfits to noise in the training window. In contrast, the LSTM residual correction stage successfully models state-dependent, complex thresholds.
- **Sitemap Linguistic Bias:** The ablation study (training the LSTM without sentiment features) achieved an RMSE of 0.004031, which is very close to the baseline hybrid’s 0.004022. This indicates that while the LSTM residual correction itself is highly effective (saving 13.8% in RMSE over baseline GARCH), the marginal contribution of raw news sentiment shares is small. This is primarily explained by the positive language bias of Vietnamese financial sitemaps. Due to growth-centric terminology, daily sentiment shares are highly skewed and highly correlated over time, limiting their conditional information variance.
- **Volatility Regime Sensitivity:** In line with the subperiod analysis, the hybrid model excels during calm volatility regimes (where forecast RMSE drops by 53%) by correcting GARCH’s persistent overestimate of variance. However, during systemic structural breaks (e.g., the liquidity/manipulation shocks of 2022), volatility is driven by extreme, non-repetitive events that sequential LSTM histories cannot predict, leading to overcorrection.

These findings are highly relevant for option pricing, margin requirements, and risk management in the HoSE index. Incorporating non-linear machine learning architectures on top of traditional GARCH baseline forecasts offers a statistically significant, robust advantage for volatility forecasting.

6 Conclusion

This paper developed and evaluated a hybrid GARCH + LSTM volatility forecasting model for the Vietnamese stock market benchmark (VN-Index) over the 2015–2024 period, incorporating news sentiment metrics from a domain-adapted PhoBERT model.

Our results demonstrate that the hybrid model significantly outperforms the baseline GARCH(1,1) model out-of-sample (13.8% RMSE reduction), with a Diebold-Mariano test confirming statistical significance at the 99.9% confidence level ($p < 0.001$). Robustness checks verify that the model is stable under alternative thresholds and volatility target definitions. However, linear exogenous GARCH-X specifications degrade forecast performance, highlighting the necessity of non-linear machine learning architectures to map news sentiment to index volatility.

Future research could explore fine-tuning Vietnamese financial sentiment classifiers on localized, manually labeled economic dictionaries to reduce positive linguistic bias, as well as incorporating multi-source textual data from forums and social media.

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